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Introduction to the Green Climate Fund

Presenter

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Introduction

This presentation will provide an overview of the Green Climate Fund (GCF), providing information on the following:

- Introduction to GCF:
  - History and Mandate
  - Current Portfolio
  - Key Features
  - Investment Criteria
  - Strategic Plan 2024 - 2027
- Overview of GCF's structure
  - GCF Governance
  - Key Partners
- Key funding windows and access modalities

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Introduction to the GCF

GCF is a global fund created under the United Nations Framework Convention on Climate Change (UNFCCC) and serves the Paris Agreement, combating climate change by investing in low-emission and climate resilient development

- **2010** – Established under Cancun Agreements
- **2013** – Began operations in Songdo, South Korea
- **2014** – Over USD 10 billion pledged to GCF from 43 countries (IRM)
- **2015** – 1st project approvals
- **2019** – GCF's 1st replenishment - USD 10 billion pledged from 34 countries (GCF-1)
- **2023** – GCF's 2nd replenishment – USD 12.8 billion pledged from 31 countries (GCF-2)
- **2025** – USD 18 billion committed to 314 projects

Overview of GCF Mandate

As per the Governing Instrument of the Green Climate Fund:

*"In the context of sustainable development, the Fund will promote the **paradigm shift towards low emission and climate-resilient development pathways** by providing support to developing countries to limit or reduce their greenhouse gas emissions and to adapt to the impacts of climate change, taking into account the needs of those developing countries particularly vulnerable to the adverse effects of climate change."*

GCF Project Portfolio

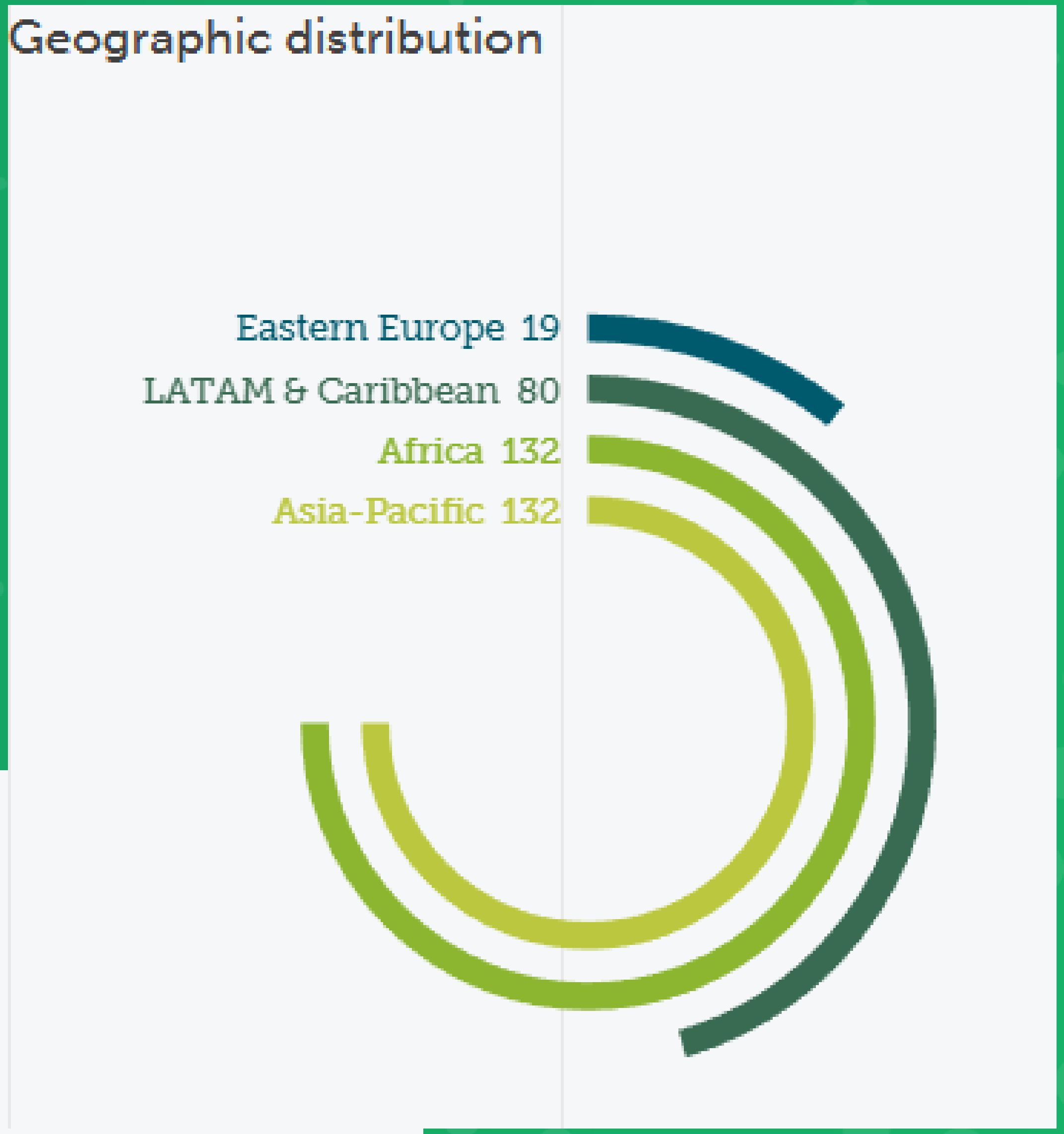
314 projects approved

USD 18 billion committed financing | USD 5.8 Billion disbursed

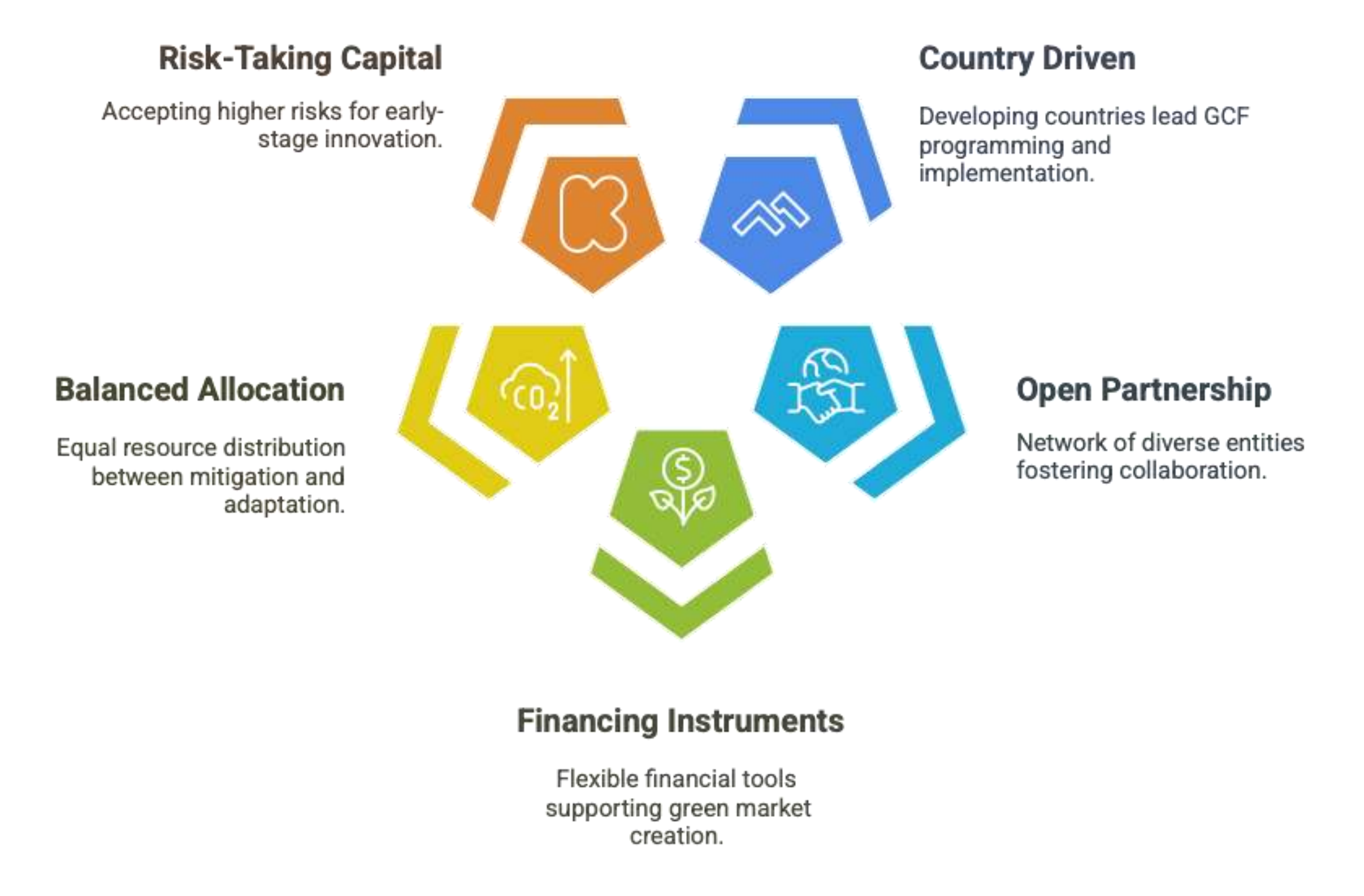
Total portfolio value of USD 66.5 billion

Funding by theme:
48% Adaptation; **52%** Mitigation

1.4 billion people with increased resilience | **3.2 billion** tonnes of CO2eq avoided



GCF's Key Features



GCF Funding Areas

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GCF seeks to have an impact across 8 mitigation and adaptation result areas:

Adaptation
Increased resilience of:

- Health, food, and water security
- Livelihoods of people and communities
- Infrastructure and built environment
- Ecosystems and ecosystem services

Mitigation
Reduced emissions from:

- Energy generation and access
- Transport
- Buildings, cities, industries, and appliances
- Forests and land use

Overview of the Investment Criteria

The GCF Investment Framework guides the GCF in selecting and prioritizing projects for funding.

Ensures that projects contribute effectively to the GCF's mandate of supporting climate change mitigation and adaptation, particularly in developing countries.

The framework is structured around six key investment criteria that help the GCF assess the impact, effectiveness, and sustainability of proposed projects.

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GCF Investment Criteria

Impact Potential

- Measures the projects potential to contribute to achieving the GCF’s mitigation and adaptation objectives

Paradigm Shift Potential

- Assesses the degree to which the proposed project can catalyze a fundamental shift towards low-carbon and climate-resilient development

Sustainable Development Potential

- Evaluates the project’s contribution to environmental, social, and economic co-benefits

Needs of the Recipient

- Vulnerability and needs of the project’s target beneficiaries

Country Ownership

- Alignment with national priorities and engagement of NDA

Efficiency and Effectiveness

- Evaluates the project’s cost-effectiveness and efficient use of resources

GCF Strategic Plan 2024-2027 – Key highlights and Directions

- **Adopted in July 2023 (B.36), outlining GCF's programming directions for GCF-2 with a strengthened focus on developing country access and impact**
- **New Ambitions for GCF-2 (2024-2027):**
  - Support for Developing Countries' Climate Goals: Help translate Nationally Determined Contributions (NDCs), National Adaptation Plans (NAPs), and Long-term Climate Strategies (LTS) into investments
  - Role in Climate Finance Landscape: GCF to act as both a climate capacity-builder and risk-tolerant financier, clearly positioned within global climate finance
  - Commitment to Enhanced Access: Focus on significantly improving developing countries' access to GCF finance.
- **Important Targeted Results for 2024 – 2027 for IOM:**
  - Establish new and improved early warning systems
  - Enable smallholder farmers to adopt low-carbon climate-resilient agriculture and fisheries practices
  - Increased access to adaptation funding, especially for locally-led action
  - Sustainable conservation, management, and restoration of terrestrial and marine areas.
  - Expansion of affordable, resilient renewable energy
  - Support for low-emission infrastructure in transport, buildings, and industry
- **Efficient GCF**
  - Launched in December 2023, focused on re-examining project review and approval processes, to improve GCF's efficiency in delivering climate change investment

Introduction to GCF Governance

GCF Board

- Governs and supervises the Fund;
- Has full responsibility for funding and policy decisions;
- 24 members, with equal members from developing and developed countries;
- Board Meetings usually occur 3 three times per year every 3-4 months.

GCF Secretariat

- Accountable to Board and responsible for executing the daily operations of the Fund;
- Supports countries (NDAs and FPs) and AEs with climate change planning, project preparation, and development;
- Reviews concept notes and funding proposals to ensure they are at a standard to be submitted to the Board for approval.

GCF Governance – Independent Units

Independent Evaluation Unit (IEU)

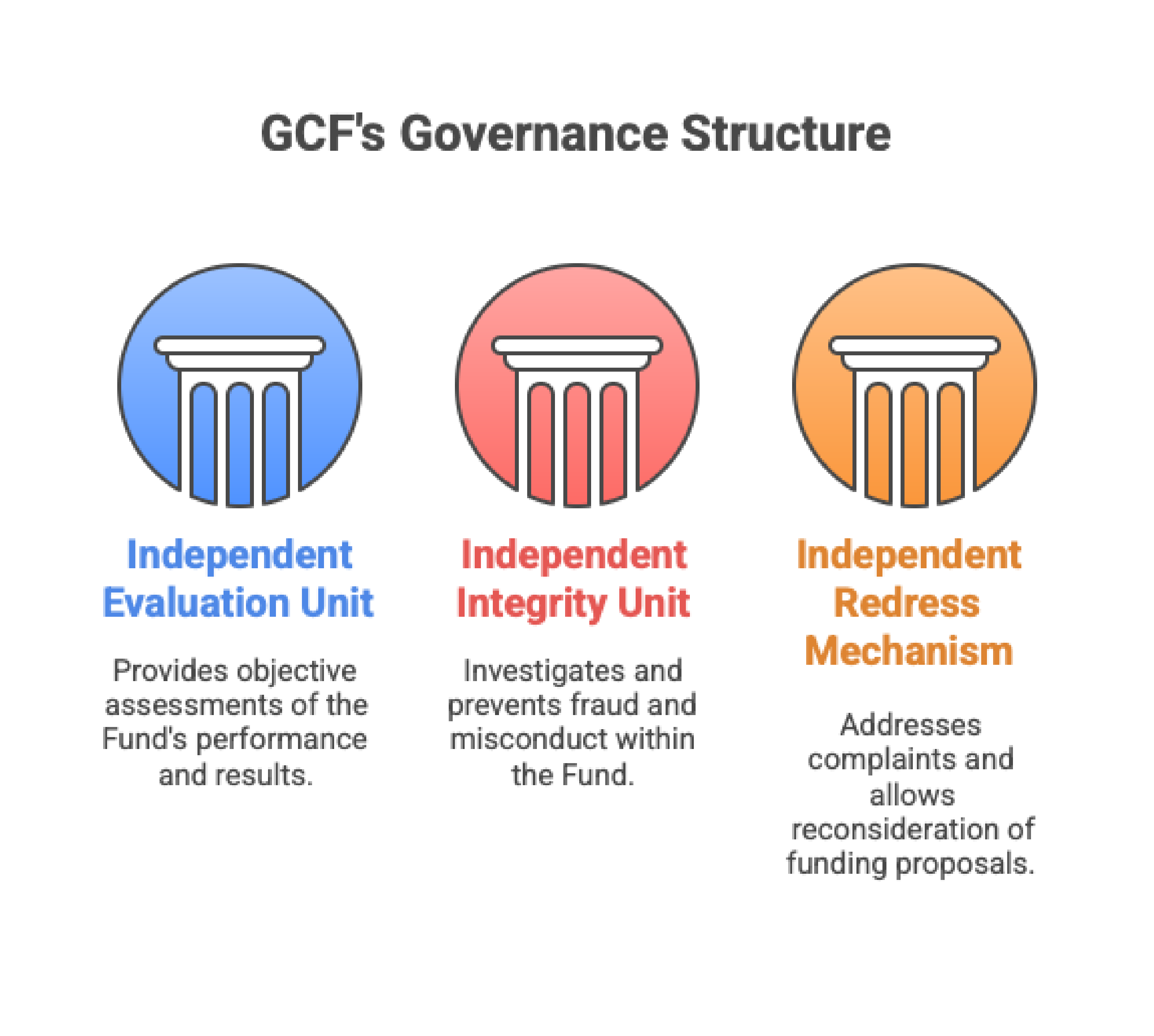
- Established by the GCF Board as an independent unit to provide objective assessments of the performance and results of the Fund
- Conducts independent evaluations of the GCF's activities to guarantee its accountability and synthesizes learnings from high-quality and rigorous evaluations to support the GCF's effectiveness and efficiency

Independent Integrity Unit (IIU)

- Investigates allegations of fraud, corruption, misconduct, and prohibited practices
- Proactively prevents future integrity issues by establishing policies and guidelines

Independent Redress Mechanism (IRM)

- Responds to complaints from those adversely affected by GCF projects or programs
- Allows for reconsideration of rejected funding proposals by developing country National Designated Authorities or focal points



Independent Technical Advisory Panel

Independent Technical Advisory Panel (iTAP) is an independent body that provides technical assessments and advice on all funding proposals for the GCF Board.

The iTAP assessment is the final review stage a project must pass to be submitted to the Board.

iTAP provides recommendations to the Board on whether a funding proposal should be approved.

Key Partners – Nationally Designated Authorities/Focal Points

Nationally Designated Authorities (NDAs) and Focal Points are essential partners for GCF and serve as the interface between each country and the fund and support coordination efforts for climate finance initiatives

- **NDAs:** senior government officials or representatives appointed by the national government to oversee the country's engagement with GCF
- **Focal Points:** In some countries, FPs are designated to serve in a similar role to NDAs.

NDAs ensure GCF projects align with national climate action and development, plans, Nationally Determined Contributions (NDCs), National Adaptation Plans (NAPs), Long-Term Low Emission Development Strategies (LT-LEDS).

NDAs are responsible for developing and submitting GCF Country Programmes in collaboration with GCF to outline their climate action priorities and projects/programmes

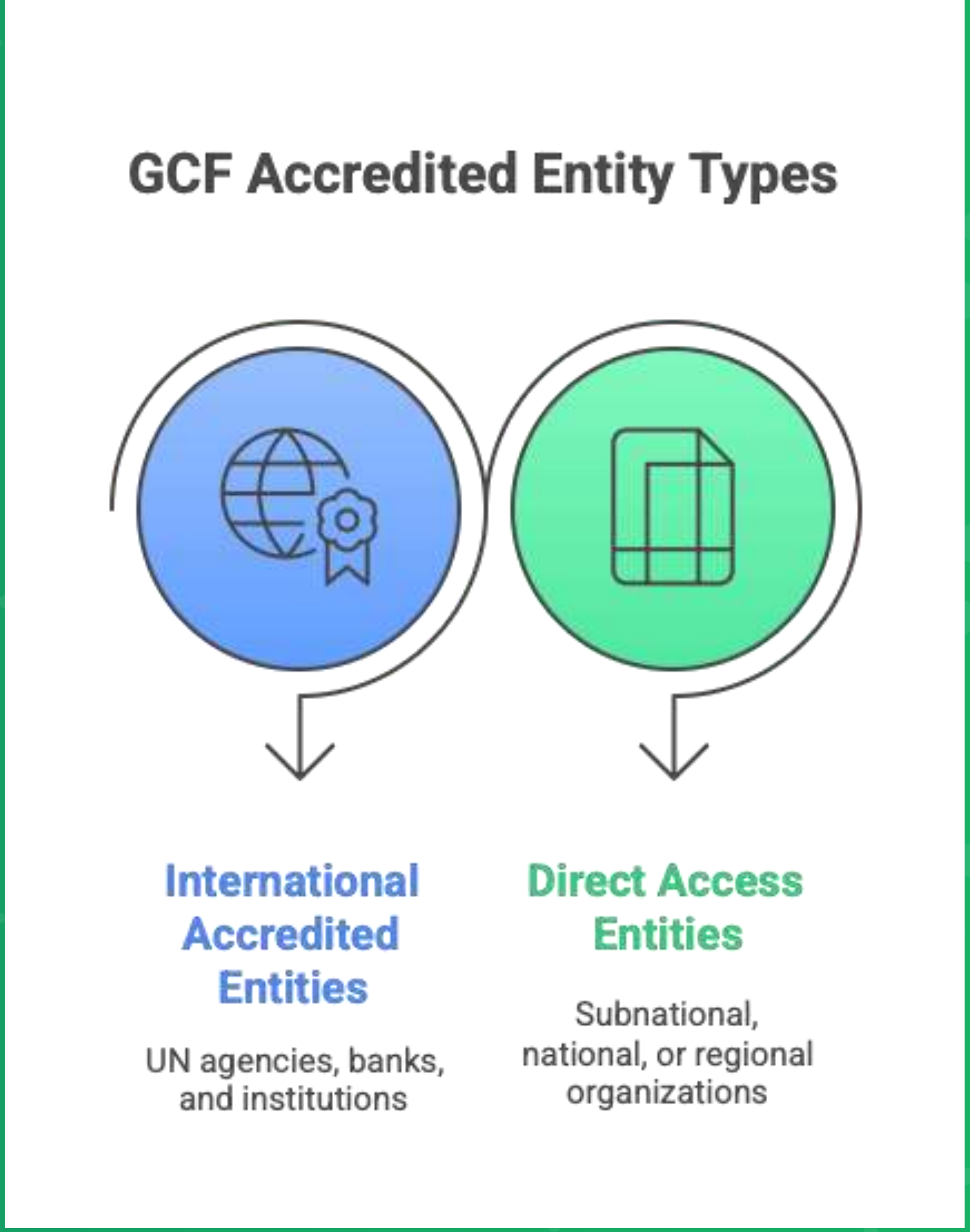
Currently there are 148 countries with a designated NDA/FP

Key Partners – Accredited Entities

Accredited Entities (AEs) are partners that go through the GCF Accreditation Process and can receive funds to implement GCF projects/programmes.

AEs work alongside countries to develop project ideas and submit funding proposals for the GCF Board to approve.

Accredited Entities can be private or public, non-governmental, sub-national, national, regional or international.

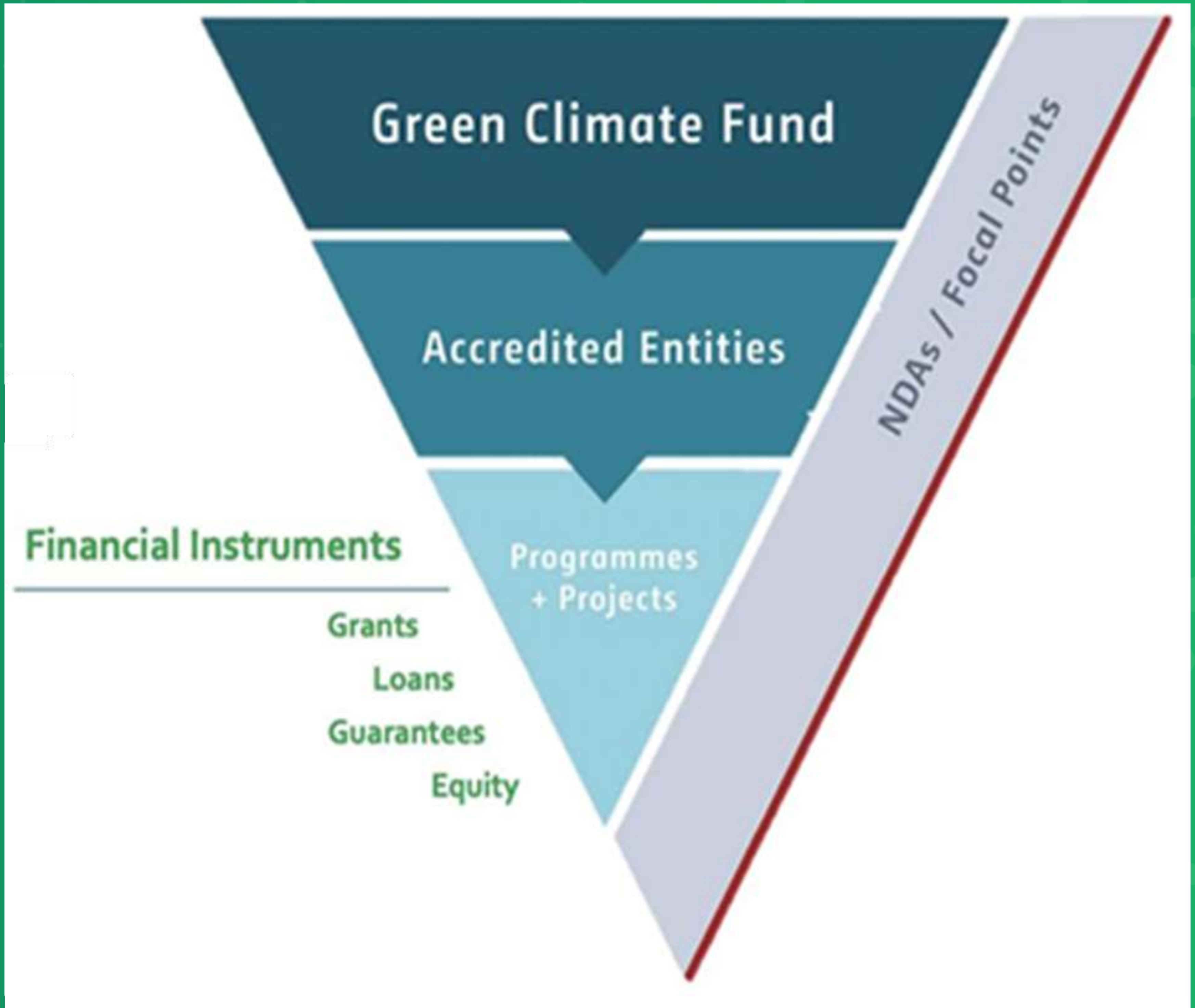


Introduction to key funding windows and access modalities

GCF provides finance to AEs

AEs develop and implement projects and programmes

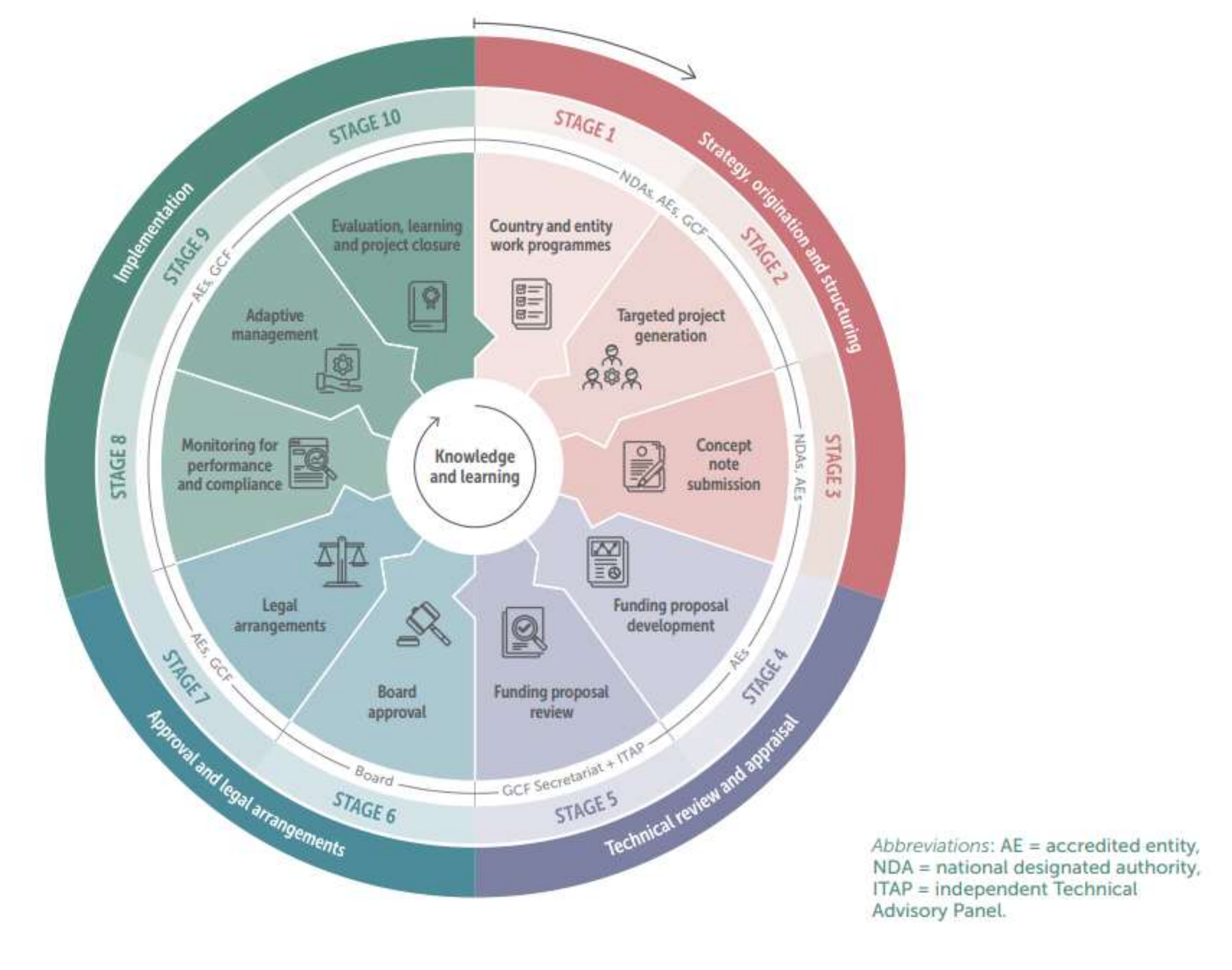
NDAs and Focal Points are consulted and involved at every stage to ensure country ownership



GCF Project/Programme Activity Cycle

There are 10 stages in the GCF project/programme activity cycle covering:

- Strategy, origination and structuring
- Technical review and appraisal
- Approval and legal arrangements
- Implementation



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Types of Funding

GCF provides financing across various instruments:

- Grants
- Concessional Loans
- Equity
- Guarantees
- Other – such as results-based payments

GCF projects/programmes are categorized by size:

Micro	Up to USD 10 million
Small	USD 10 – 50 million
Medium	USD 50 – 250 million
Large	over USD 250 million

GCF Readiness and Preparatory Support Programme

- **Purpose:** GCF's Readiness and Preparatory Support Programme (RPSP) designed to strengthen the capabilities of developing countries in accessing, managing, and effectively using GCF funding to address climate change challenges. The program emphasizes empowering countries to take ownership of their climate agendas.
- **GCF Readiness Strategy 2024 – 2027:** focuses on making climate finance more accessible, efficient, and supportive of country-driven climate action
- **Key areas of support:**
  - Strengthening NDAs and Focal Points
  - Building Capacity of Direct Access Entities (DAEs)
  - Developing Strategic Frameworks
  - Support for Project Preparation
- **Financing support:**
  - Countries can access up to USD 7 million* over 4 years
  - DAEs can access up to USD 1 million over 4 years
  - LDCs and SIDS can access an additional USD 320,000 for human and technical capacity building support


Readiness and Preparatory Support Framework Agreement

GCF Readiness and Preparatory Support Programme – Delivery Partner

- Delivery Partners (DPs) are entities approved by GCF to provide technical and operational support to developing countries in implementing readiness activities.

- DPs assist countries in accessing GCF readiness grants and support capacity-building efforts, helping to develop effective climate finance strategies, and prepare project pipelines.
-

  Selection Process
  - NDAs select appropriate DPs based on alignment with national climate priorities and technical capacity.
  - GCF also has a roster of pre-qualified organizations

GCF Project/Programme Activity: Concept Note

Concept Note:

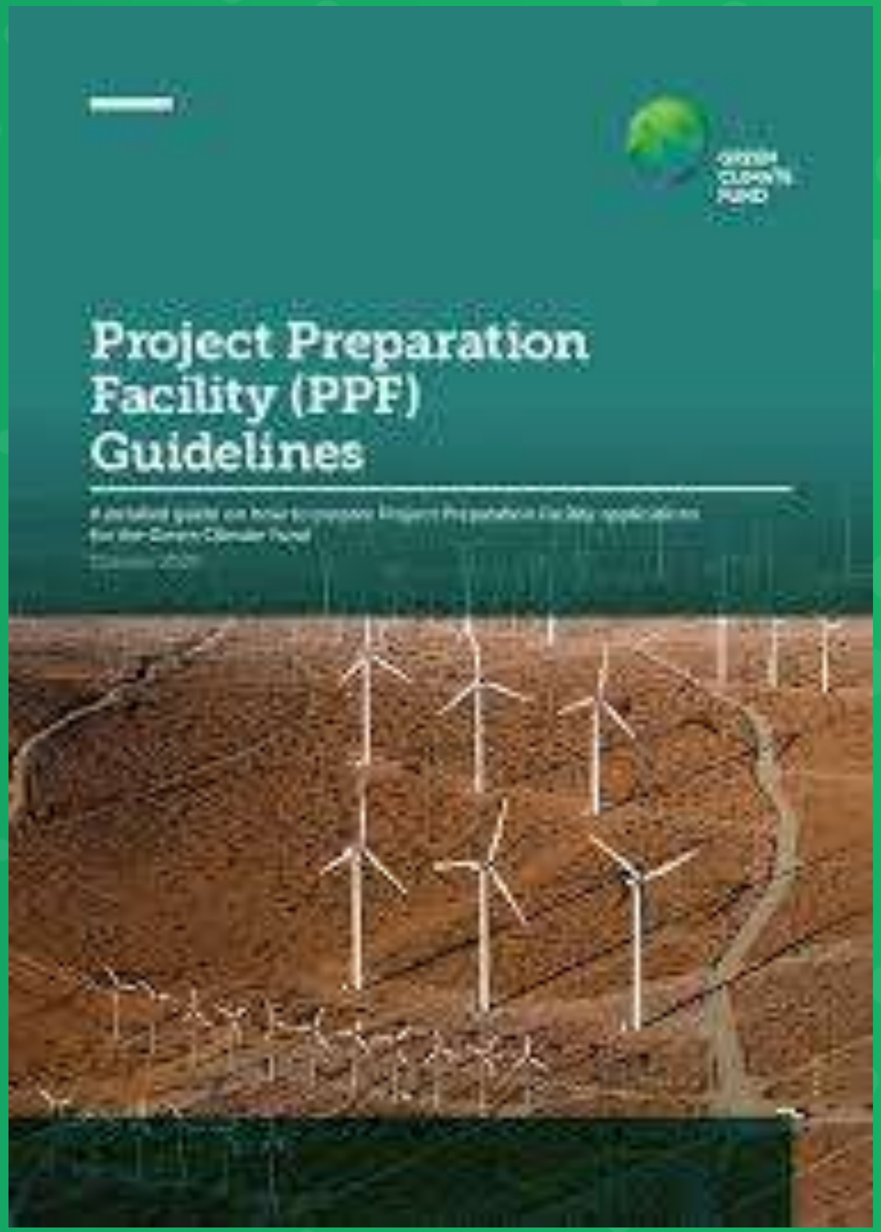
- Provides a summary of a proposed project/programme so the GCF Secretariat can provide feedback on whether the project is aligned with the Fund's objectives and policies
- Can be submitted to the Secretariat for review by NDAs or AEs
  - Not a mandatory document but submission is strongly encouraged
  - Opportunity for early feedback on project viability, while requiring less time and resources compared to a funding proposal
  - Mandatory in the case of PPF application

GCF Project Preparation Facility

The Project Preparation Facility (PPF) provides developing countries with financial and technical assistance for the preparation of funding proposals as many countries face capacity constraints in developing climate finance proposals

AEs can apply for up to USD 1.5 million per application to the PPF, through two modalities:

- PPF Funding – AEs receive grants, repayable grants or equity to undertake project preparation activities by themselves
- PPF Service – GCF provides project preparation services directly to AEs through a roster of independent consultancy firms



GCF Project/Programme Activity: Funding Proposals

- A comprehensive, detailed document that includes all technical, financial, environmental, and social information about the project.
- Provides an in-depth analysis of how the project will be implemented, including the expected impacts, risks, and how these will be mitigated
- Should align with the country's climate priorities
- Can only be submitted by an AE, with the support of the NDA through a no-objection letter

GCF Private Sector Facility

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- Public funds are not enough to tackle the climate crisis, and the private sector can play a pivotal role in unlocking further investments into clean energy, sustainable transport, green infrastructure, and climate-resilient agriculture.
- GCF has established the Private Sector Facility (PSF) designed to scale up GCF activities, de-risk the delivery of capital flows, and fund and mobilize private sector actors, including institutional investors, project sponsors and financial institutions.
- GCF has approved 75 private sector projects, totaling USD 6.4 billion in GCF financing and unlocking over USD 24.5 billion in co-financing

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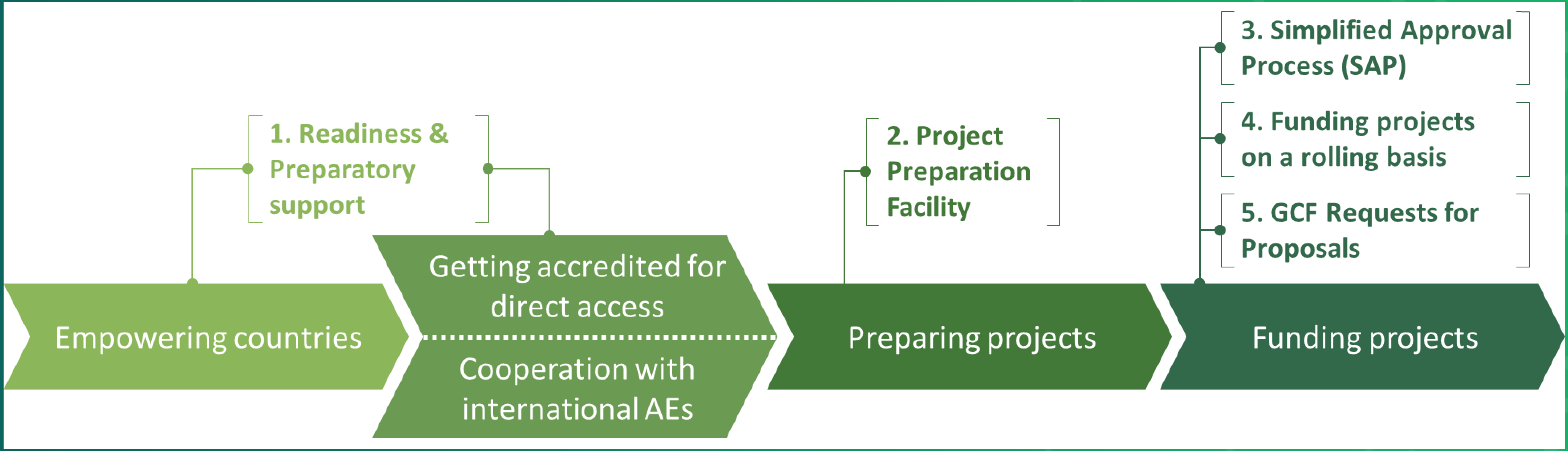
Summary of the GCF Process overview



Project Specific Accreditation Approach

- Project Specific Accreditation Approach (PSAA) is designed for entities that want to access GCF resources for a specific project without undergoing full accreditation
- It aims to streamline and broaden access to climate finance by working with new partners, countries, and technologies, that have been underserved by the existing GCF Accredited Entity network
- It is currently undergoing its pilot phase running for three years (April 2023 – March 2026)
- Up to 10 proposals per year will be reviewed throughout the pilot phase.

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Q&A

Links to Key Documents

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- GCF's Strategic Plan (2024–2027)
- GCF Investment Framework
- GCF Country Programmes
- GCF SAP Funding Proposal Guidelines – this is specific to the SAP template but is a good overall tool for understanding project development
- GCF Readiness Strategy 2024 – 2027
- GCF Readiness Guidelines